

test the impact of those factors on the true productivity of the teams.

Most of all, we need to develop clear methods for holding teams accountable for validated learning. I have proposed one method in this book: innovation accounting using a well-defined financial model and engine of growth. However, it is naive to assume that this is the best possible method. As it is adopted in more and more companies, undoubtedly new techniques will be suggested, and we need to be able to evaluate the new ideas as rigorously as possible.

All these questions raise the possibilities of public-private partnerships between research universities and the entrepreneurial communities they seek to foster. It also suggests that universities may be able to add value in more ways than by being simply financial investors or creators of startup incubators, as is the current trend. My prediction is that wherever this research is conducted will become an epicenter of new entrepreneurial practice, and universities conducting this research therefore may be able to achieve a much higher level of commercialization of their basic research activities.⁴

THE LONG-TERM STOCK EXCHANGE

Beyond simple research, I believe our goal should be to change the entire ecosystem of entrepreneurship. Too much of our startup industry has devolved into a feeder system for giant media companies and investment banks. Part of the reason established companies struggle to invest consistently in innovation is intense pressure from public markets to hit short-term profitability and growth targets. Mostly, this is a consequence of the accounting methods we have developed for evaluating managers, which focus on the kinds of gross “vanity” metrics discussed in [Chapter 7](#). What is needed is a new kind of stock exchange, designed to trade in the stocks of companies that are organized to sustain long-term thinking. I propose that we create a Long-Term Stock Exchange (LTSE).